

REVENUE MEMORANDUM CIRCULAR NO. 11-2025 issued on February 7, 2025 circularizes Republic Act (RA) No. 12120 (Philippine Natural Gas Industry Development Act).

In recognition of the substantial investments needed for the development, construction, lease, operation and/or maintenance of, and conversion to natural gas facilities, all Philippine Downstream Natural Gas Industry Facilities, as certified by the Department of Energy, shall undergo an evaluation process for possible inclusion in and entitlement to incentives under the Strategic Investment Priority Plan, subject to the incentive provided under Title XIII (Tax Incentives) of the National Internal Revenue Code of 1997 (NIRC), as amended by Republic Act No. 11534 (Corporate Recovery and Tax Incentives for Enterprises Act), and any amendments thereto.

The purchase and sale of indigenous natural gas, aggregated gas, and power generated by generation facilities using indigenous natural gas and aggregated gas shall be exempt from Value-Added Tax (VAT). Provided, That the exemption from VAT for aggregated gas is only to the extent of the amount of indigenous natural gas attributed to be in the aggregated gas. This includes the: (a) purchase and sale of indigenous natural gas and aggregated gas by an aggregator, reseller, supplier, person authorized by the Energy Regulatory Commission to operate facilities used in the generation of electricity, or an end-user, and (b) purchase and sale of electricity or ancillary services produced by a generation facility using indigenous natural gas and/or aggregated gas by a person authorized to (i) operate facilities used in the generation of electricity or ancillary services, (ii) sell, broker, market, or aggregate electricity to end-users, (iii) consolidate electric power demand of end-users for the purpose of purchasing and reselling electricity on a group basis, (iv) engage in the distribution of electricity, or (v) procure or provide ancillary services. These shall include all modes of purchase and sale, whether through a supply agreement; a duly authorized market such as, but not limited to, the wholesale electricity spot market or the ancillary reserves market, financial gas contracts, Natural Gas Sales and Purchase Agreement; or through other modes.